Tanker Shipping

Bi-Weekly Report

March 11, 2025

- **A Fragile Recovery in VLCCs Amid Macro Headwinds** – The VLCC market appeared to have found a **temporary floor** in early March, with shipowners showing renewed optimism for a potential recovery. **Activity** levels initially **picked up** as charterers sought to cover outstanding second-decade stems and advance bookings for the third-decade program. However, despite some resistance from owners, broader market weakness—particularly in other regions—has kept a **significant rebound in check**. In the East, market sentiment remains fragile as VLCC AG to China rates ended the first week of March with a slight decline. The softening reflects underlying concerns over **Chinese crude demand**, with recent import figures showing a **5% year-on-year drop** for January and February. This has dampened confidence in sustained freight rate gains, as uncertainty over future crude demand growth weighs on long-haul tanker prospects. Overall, while **pockets of resilience exist**, prevailing macroeconomic headwinds and **soft demand** fundamentals remain key obstacles to a sustained rate recovery in both the East and West. The recent momentum in freight markets continues to be tested by **uncertainties** in the oil market, particularly growing concerns over **Chinese demand**. With China's crude oil imports down year-on-year, fears of weakening demand for long-haul crude shipments persist. Nevertheless, short-term market tightness and the **clearing of early-positioned tonnage** should provide some near-term support for VLCC rates.

- **OPEC+ Confirms Production Increase Despite Demand Headwinds** – Despite a **lackluster outlook** for global oil demand, OPEC+ appears poised to gradually **increase production** in accordance with last year's announced schedule. While the initial increase is relatively modest—approximately 140,000 barrels per day—the mere indication of rising production intentions was sufficient to trigger a significant **selloff in oil** prices. However, the pressure on prices is not solely due to the potential for additional supply. **Demand** growth remains **weak**, with few foreseeable catalysts that could alter this trajectory. Although recent stimulus measures from China might provide some support, **fundamental indicators** suggest a **structural shift** in the region's oil consumption—an overall negative for future demand growth. Additionally, any supply shortfall resulting from tightened sanctions on Iran could be readily offset by the more than **5 million** barrels per day of **spare capacity** available among other OPEC+ members. Meanwhile, demand growth in developed markets appears to have plateaued. In summary, the likelihood of a significant upside surprise in crude demand this year—beyond gas-related growth—remains low. As a result, crude prices are expected to continue trending lower in line with underlying market fundamentals.

- **Our Long-term View –** The last few years have been characterized by increased geopolitical uncertainty. Going forward, we expect such events to continue to affect global trade and have a meaningful impact on effective vessel supply. Combined with the potential for a multi-year cyclical rebound in China's economic activity following the recent economic turmoil, dry bulk shipping should experience higher volatility on top of a secular tightness driven by stable bulk commodity demand and a slower fleet growth owing to a relatively low orderbook.

Short-term Indicators	
Momentum:	**Negative**
Sentiment:	**Neutral**
Fundamentals:	**Positive**
Breakwave Tanker Futures Index:	**1171**
30D: -9.7%	↓
YTD: 8.2%	↑
YOY: -11.8%	↓
VLCC Middle East-Asia Spot Rates:	**12.26**
30D: -10.5%	↓
YTD: 36.5%	↑
YOY: -18.5%	↓

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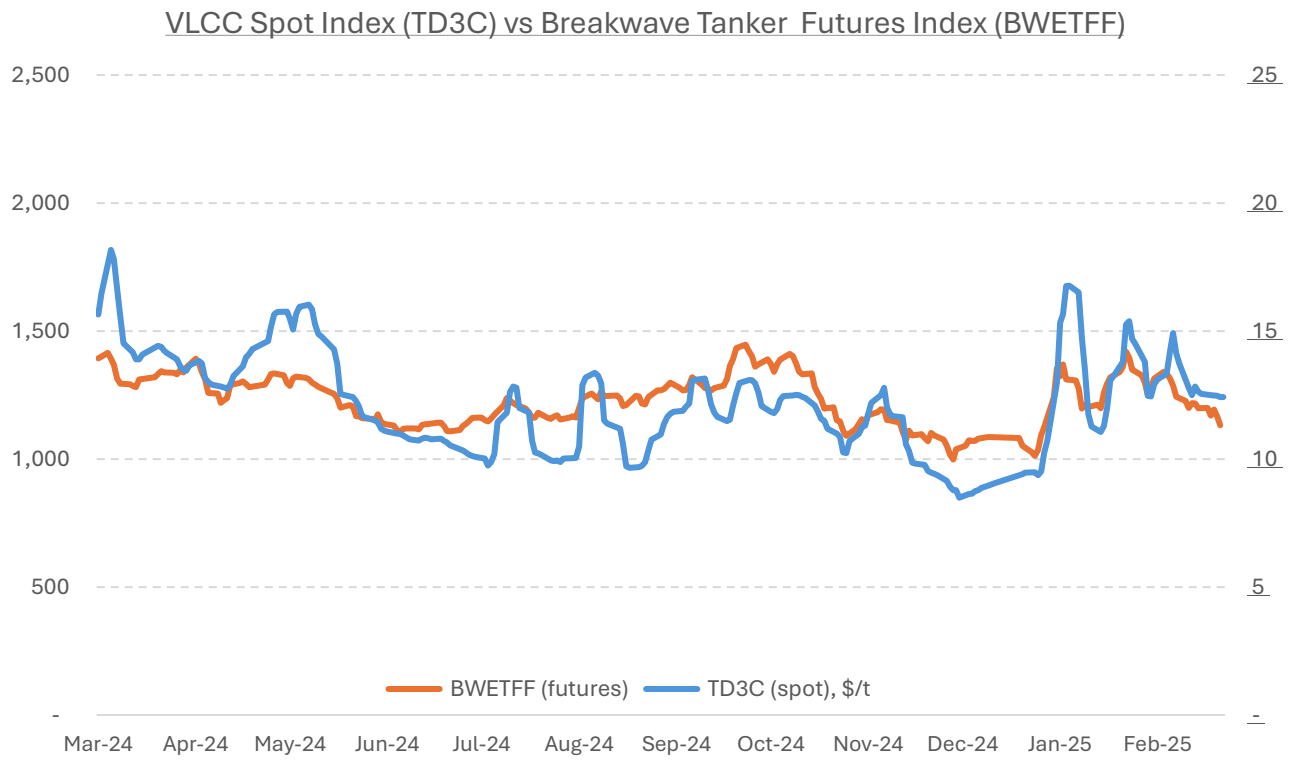

Tanker Fundamentals

Demand	YTD	YOY
World Oil Demand	104,595 kbpd	2.1%
Oil Supply, OPEC	27,350 kbpd	1.9%
Oil Supply, non-OPEC	68,625 kbpd	1.7%
OECD Total Crude Oil Stocks	1001.7 MMbls	-3.7%
US Crude Oil Exports	49.3 MMbls	0.8%
China Oil Imports	553.5 MMbls	-1.9%
Global Crude Oil Floating Storage	84.2 MMbls	7.3%

Supply		
Tanker Fleet	695.0 mdwt	0.8%

Freight Rates		
VLCC Middle East-Asia, USD/ton	12.60	-13.2%
Suezmax West Africa-Europe, USD/ton	16.62	-18.6%

Note: *All numbers as of latest available; Imports/Exports/Production are YTD sums as of latest reported; Inventories/Fleet are weekly totals*
Sources: *Bloomberg, IEA, Clarksons and Breakwave Advisors*

Chart: *The Baltic TD3C Index measures the spot rate in USD per ton for Very Large Crude Carriers (VLLCC) operating in the Middle East to Asia route. The Breakwave Tanker Futures Index (BDRYFF) is designed to track freight futures contracts with a sector weighting of 90% VLCC TD3C and 10% Suezmax TD20 and a weighted average maturity of approximately 50-70 days.*

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